



Time: 4 minutes

Outcome: Predict behavioral responses and unintended consequences created by incentives.

Difficulty: Beginner

Incentives

THE CORE IDEA

Incentives change the expected benefits or costs of a choice, so they can alter behavior at the margin. A congestion fee raises the cost of the next downtown trip. Incentives can be monetary or nonmonetary, and different people may respond differently. A reward can also improve a measured result while harming the underlying goal.

HOW TO RECOGNIZE IT

- A speed bonus makes workers finish faster, but quality falls.
- A new toll reduces traffic on a busy road.
- A toll is added to a crowded bridge, and some drivers switch routes.
- A school rewards high test pass rates.
- An incentive changes the payoff to a choice; it need not be monetary or guarantee a result.

WATCH OUT

A common mistake is to define incentives as cash payments or guaranteed behavior. An incentive changes the expected payoff to a choice; it may be monetary or nonmonetary, and people can respond differently.

WORKED EXAMPLE: RESPONDING TO INCENTIVES

A city adds a \$4 congestion fee for a rush-hour trip. Assume other trip costs are already deducted from each driver's benefit. A driver with a remaining benefit of \$3 avoids the trip because the fee exceeds that benefit. A commuter with a remaining benefit of \$10 still travels. The fee changes choices at the margin without making every driver respond alike.

CHECK YOURSELF

A neighborhood app awards a visible badge for weekly recycling. Participation rises among users who value recognition but barely changes for others. What is the best interpretation?

READY?

Return to the game and master this concept.